

1. MASTER TERMS OF SERVICE

1.1 Parties and Purpose

These Master Terms of Service (this "**Agreement**") are entered into by and between **AFFECTIVE ACADEMY LLC**, a Colorado limited liability company doing business as "The RADU E-Token" ("**Provider**"), and the Local Education Agency or organization identified on the executed Order Form ("**Customer**"). Provider will furnish access to its cloud-based positive-behavior-recognition software platform (the "**Service**") under the terms set forth herein.

1.2 Definitions

"Student Data" means Personally Identifiable Information ("PII") that (i) relates to a current or former student and (ii) is provided to, generated by, or otherwise Processed by the Service. PII has the meaning given in FERPA, 34 C.F.R. § 99.3. Student Data constitutes an education record under FERPA.

"Token Event" means a discrete, timestamped behavioral recognition entry within the Service.

"Recognition Balance" means the cumulative, non-monetary point total attributable to a student within the Service.

1.3 License Grant

Provider grants Customer a non-exclusive, non-transferable right for Authorized Users to access and use the Service strictly for bona fide educational purposes during the Subscription Term. Provider will not suspend or revoke access except for non-payment, material breach, or a documented security emergency, and will provide Customer written notice and a reasonable cure period except where immediate suspension is necessary to prevent harm.

1.4 Account Provisioning and Rostering

Rostering is currently manual. Customer provides student and educator records by secure file transfer or direct entry by Customer's authorized staff. Provider does not currently offer Clever, ClassLink, or OneRoster integration and makes no representation that such integration will be available.

Shared credentials are prohibited for both parties. Provider represents that all Provider-side administrative accounts use unique per-person credentials with multi-factor authentication enabled.

1.5 Acceptable Use

Customer shall not (i) reverse-engineer or decompile the Service; (ii) use the Service for unlawful or discriminatory activity; (iii) introduce malicious code; or (iv) resell access without Provider's written consent.

1.6 Fees

Fees are set forth in the Order Form, calculated on a per-pupil basis, subject to a mutually agreed annual minimum. Pilot deployments are governed by **Appendix F**.

1.7 Insurance

Provider does not currently maintain Commercial General Liability, Technology Errors & Omissions, or Cyber Liability insurance. Provider will procure Commercial General Liability and Cyber Liability coverage prior to execution of any fee-bearing contract, and will furnish Certificates of Insurance upon request.

For no-fee pilot deployments under Appendix F, Customer acknowledges Provider's current uninsured status. Customer should evaluate this in its own risk assessment.

1.8 Availability and Support

Provider targets 99.5% monthly uptime, measured monthly, excluding scheduled maintenance and force majeure. **This is a target, not a guaranteed service level, and no service credits attach.** Standard support hours are 07:00–18:00 Mountain Time, Monday–Friday, excluding U.S. federal holidays.

1.9 FERPA — School Official Designation

Provider acts as a **"school official" with a legitimate educational interest** pursuant to 34 C.F.R. § 99.31(a)(1)(i)(B). Provider specifically acknowledges and agrees that:

(a) Provider performs an institutional service or function for which Customer would otherwise use its own employees; (b) Provider is under the **direct control** of Customer with respect to the use and maintenance of education records; (c) Provider uses Student Data only for the authorized purposes set forth in this Agreement and does not redisclose it to any third party except as permitted by 34 C.F.R. § 99.33(a) and Appendix B; (d) Customer retains **full ownership and control** of all Student Data at all times. Provider claims no ownership interest in Student Data.

1.10 Prohibited Uses of Student Data

Provider shall **not**, under any circumstance:

(a) Sell, rent, trade, or otherwise transfer Student Data for consideration; (b) Use Student Data for **targeted advertising** of any kind, or disclose it to any party for that purpose; (c) Create a **personal profile** of a student except in furtherance of the authorized educational purposes of this Agreement; (d) Use Student Data to **train, fine-tune, or evaluate any artificial-intelligence or machine-learning model**, whether Provider's own or a third party's; (e) Use Student Data for Provider's product development, research, or marketing except in aggregated, de-identified form as permitted by § 1.11; (f) Retain Student Data beyond the periods in Appendix C.

These prohibitions survive termination and are enforced against all Sub-Processors by written agreement.

1.11 De-Identified Data

Provider may create and use aggregated, de-identified data for product improvement, benchmarking, and research, **only if**: (i) all direct and indirect identifiers are removed such that a reasonable person could not identify a student; (ii) Provider **contractually and technically commits never to attempt re-identification**; (iii) any recipient is bound to the same obligations; and (iv) Provider does not publish or share de-identified data derived from a single Customer in a manner permitting inference about that Customer's students.

Provider will not disclose de-identified data derived from Customer's students to any third party without Customer's prior written consent.

1.12 Individualized Forms; Non-Discrimination

Individualization. The Service presents each student an individualized recognition form matched to that student's goals, assigned by the Customer's authorized staff. Assignment is stored as a **form template identifier only**. The Service does **not** store or process disability status, IEP status, 504 status, or any special-education designation.

Non-discrimination. Provider affirms that no disability, race, ethnicity, national origin, sex, or English-learner attribute is used as an input to any scoring, ranking, recommendation, comparative reporting, analytic output, or automated decision within the Service. Form assignment is a Customer-controlled configuration and is never used for comparison, ranking, or analytics across students.

1.12A Role-Based Visibility

The Service enforces least-privilege visibility by design:

Role	Can award recognition	Can view a student's running totals and history
Awarding teacher	Yes	No
Assigned Affective Needs teacher / designated staff	Yes	Yes
Student	No	Own record only
Parent / guardian	No	Own child's record only
District administrator	Per Customer configuration	Per Customer configuration

No student's recognition data is displayed publicly, posted, ranked against other students, or shared with any person other than the student, the student's parent or guardian, and Customer's designated staff.

1.13 Recognition Balances Are Not Monetary

Recognition Balances are **not currency, not stored value, not transferable, and carry no cash value**. They are non-transferable between students, cannot be exchanged for cash, expire at the end of each academic year unless Customer elects otherwise in writing, and are forfeited upon withdrawal or transfer. Redemption occurs through Customer's own program using Customer-supplied items; **Provider does not fulfill, fund, or supply rewards** and is not a party to any redemption.

DRAFTING NOTE. This clause is your firewall. Given that the product literature describes redemption for snacks, school store merchandise, and privileges, and prior drafts used "currency" language, this section forecloses the stored-value analysis before anyone raises it.

1.14 Data Export and Portability

Upon written request at any time during the term and for sixty (60) days following termination, Provider will furnish Customer with all Student Data in **machine-readable CSV or JSON format** within thirty (30) days, at no charge. PDF reports are available in addition, not in substitution.

1.15 Security Incidents

Provider shall notify Customer of any Security Incident affecting Student Data **without unreasonable delay and in no event later than seventy-two (72) hours** after Provider becomes aware, by telephone and email to Customer's designated privacy contact. Notice shall describe the nature of the incident, categories and approximate number of records, likely consequences, and remedial measures.

Provider shall cooperate fully with Customer's breach response, shall not make public statements identifying Customer without prior written consent except as legally required, and shall bear reasonable costs of notification and remediation attributable to Provider's failure.

Provider separately complies with **C.R.S. § 6-1-716**: notice to affected Colorado residents in the most expedient time possible and **within thirty (30) days**, and notice to the **Colorado Attorney General** where more than five hundred (500) Colorado residents are affected.

Security contact: [Hugo Sanchez, admin@theraduetoken.com](mailto:admin@theraduetoken.com), 954-618-7329

1.16 Audit and Cooperation

Upon reasonable notice and not more than annually, Customer may request documentation of Provider's security practices, sub-processor list, and compliance with this Agreement. Provider will respond to Customer's security questionnaires and support Customer's obligations under FERPA, IDEA, PPRA, and Colorado law.

1.17 Governing Law and Venue

Governed by Colorado law without regard to conflict-of-law principles.

1.18 Order of Precedence

In the event of conflict: (1) a mutually executed SDPA or district-required data privacy agreement; (2) the Order Form; (3) this Agreement; (4) the Privacy Policy; (5) Appendices. **A district-required agreement (including the SDPC National Data Privacy Agreement) supersedes conflicting terms in this bundle.**